Australian Competition & Consumer Commission

Public Competition Assessment

12 January 2007

Suncorp Metway Limited - proposed acquisition of Promina Group Ltd

Introduction

1. On 20 December 2006, the Australian Competition and Consumer Commission (**ACCC**) announced its decision not to oppose the proposed acquisition of Promina Group Ltd by Suncorp Metway Limited (**proposed acquisition**). The ACCC considered that the proposed acquisition would not have the effect, or be likely to have the effect, of substantially lessening competition in the relevant national and state markets for the manufacture and supply of various insurance lines and financial services in contravention of section 50 of the *Trade Practices Act 1974* (the **Act**).

2. The ACCC made its decision on the basis of the information provided by the merger parties and information arising from its market inquiries. This Public Competition Assessment outlines the basis on which the ACCC has reached its decision on the proposed transaction, subject to confidentiality considerations.

Public Competition Assessment

3. To provide an enhanced level of transparency and procedural fairness in its decision making process, the ACCC issues a Public Competition Assessment for all transaction proposals where:
   - a merger is rejected;
   - a merger is subject to enforceable undertakings;
   - the merger parties seek such disclosure; or
   - a merger is approved but raises important issues that the ACCC considers should be made public.

4. This Public Competition Assessment has been issued because the proposed acquisition is considered to raise issues of interest to the public.

5. By issuing Public Competition Assessments, the ACCC aims to provide the market with a better understanding of the ACCC's analysis of various markets and the associated merger and competition issues. It also alerts the market to the

circumstances where the ACCC's assessment of the competition conditions in particular markets is changing, or likely to change, because of developments.

6. Each Public Competition Assessment is specific to the particular transaction under review by the ACCC. While some transaction proposals may involve the same or related markets, it should not be assumed that the analysis and decision outlined in one Public Competition Assessment will be conclusive of the ACCC's view in respect of other transaction proposals, as each matter will be considered on its own merits.

7. Many of the ACCC's decisions will involve consideration of both non-confidential and confidential information provided by the merger parties and market participants. In order to maintain the confidentiality of particular information, Public Competition Assessments do not contain any confidential information or its sources. While the ACCC aims to provide an appropriately detailed explanation of the basis for the ACCC decision, where this is not possible, maintaining confidentiality will be the ACCC's paramount concern, and accordingly a Public Competition Assessment may not definitively explain all issues and the ACCC's analysis of such issues.

The parties

The acquirer: Suncorp Metway Limited

8. Suncorp Metway Limited (Suncorp) is one of Australia's leading diversified financial services providers, operating in the banking, general and life insurance, investment and superannuation fields. In terms of its general insurance business, Suncorp manufactures and distributes personal and commercial insurance lines as well as, in some states, workers compensation and compulsory third party (CTP) insurance. Suncorp has a 50 per cent share of RACQ Insurance Limited in Queensland and RAA Insurance Limited in South Australia, and also acquired RACT Insurance in Tasmania 2004.

The target: Promina Group Ltd

9. Promina Group Ltd (Promina) is a group of Australian and New Zealand insurance and financial services companies with specialised brands including AAMI, Vero (personal and commercial insurance), Shannons, Australian Pensioners Insurance Agency, RAC Insurance in WA (50 per cent owned joint venture) and Just Car Insurance. Like Suncorp, the firm is strongest in personal insurance lines. Promina manufactures and distributes personal and commercial insurance lines through a combination of direct and intermediated distribution channels. Promina also provides a range of life insurance, superannuation, wealth management and trustee services.

Market background

10. In broad terms, there are two key types of general insurance: commercial and personal insurance. Commercial insurance covers product lines such as workers compensation, commercial fire insurance, marine and aviation insurance, public and product liability, professional indemnity and commercial motor insurance. The key personal lines are domestic motor vehicle insurance, home and contents insurance and CTP insurance.

11. Suncorp and Promina are both insurance manufacturers: companies that develop and take the claims risk (as underwriters) for an insurance policy. Insurance products are generally sold to the customer in three main ways:

    - directly by the insurance manufacturer (for example, a customer who purchases a policy online from Suncorp);

    - via a separate distributor, who enters into an agreement to distribute insurance products underwritten by the manufacturer (for example, the NAB distributes a range of insurance products sourced from Allianz); or

    - via an insurance broker - independent advisers who operate on behalf of their clients to procure policies that meet the needs of their clients and are competitively priced.

12. In the case of commercial insurance, insurance brokers play the main role. In contrast, in the case of personal insurance lines, insurance brokers only account for a relatively small proportion of policies sold. Direct sales and sales via tied distributors play a more important role here.

13. While there is generally a diverse range of insurance manufacturers, there is a relatively high concentration of market share amongst manufacturers of personal insurance lines. IAG (which markets the NRMA and CGU brands, amongst others), Suncorp and Promina are the largest manufacturers of home and motor vehicle insurance on a national basis. Smaller manufacturers include Allianz, QBE, Wesfarmers and Budget Direct. A number of the major banks (the Commonwealth Bank and Westpac) have also shifted relatively recently from pure distribution to manufacturing insurance.

14. CTP insurance is generally distinguished from other personal lines. CTP schemes are regulated and operated on a state/territory basis. The CTP schemes in New South Wales, Queensland and the Australian Capital Territory allow private (licensed) underwriters to operate. Schemes in all other states/ territories involve a single Government Insurer. Market shares for CTP insurance in Queensland are quite concentrated.

The proposed transaction

15. On 12 October 2006, Suncorp announced its intention to acquire Promina, subject to ACCC approval. A submission was received by the ACCC on 26 October 2006.

Areas of overlap

16. While Suncorp provides banking services, Promina does not. Accordingly, this aspect of the transaction raised no relevant competition concerns. However, there is significant overlap in the other areas of operation of the two firms. Personal and commercial insurance lines (including workers compensation and CTP insurance) and other financial services such as superannuation, wealth management and trustee services were all examined as part of the competition analysis for this matter.

Timing

17. The following table outlines the timeline of key events in this matter.

Date	Event
26-Oct-2006	ACCC commenced review under the Merger Review Process Guidelines
30-Oct-2006	ACCC commenced market inquiries
13-Nov-2006	Closing date for submissions from interested parties on market inquiries
06-Dec-2006	ACCC published a Statement of Issues outlining preliminary competition concerns
13-Dec-2006	Closing date for submissions from interested parties on Statement of Issues
20-Dec-2006	ACCC decided not to oppose the proposed acquisition

Market inquiries

18. The ACCC conducted market inquiries with a range of industry participants, including competitors, distributors, insurance brokers, suppliers, end consumers of insurance, industry associations and industry regulators. Submissions were sought in relation to the substantive competition issues and the matters raised in the Statement of Issues.

Statement of Issues

19. The ACCC published its Statement of Issues on 6 December 2006 identifying a number of competition issues. No 'issues of concern' were identified, but there were several 'issues of potential concern'. The ACCC sought information on:

- The extent of state and brand loyalty, to assist it to determine whether interstate insurers offer an effective constraint, and whether the manufacture and supply of motor vehicle insurance was a national market or state based.
- The extent to which Promina was a particularly vigorous and effective competitor in terms of price setting and product development, and the impact the proposed acquisition would have on competition within personal lines of insurance. The ACCC also expressed interest in whether there were any other small to medium sized competitors which play a leading role in lowering prices or introducing new product features.

- Barriers to expansion in the Queensland CTP market, and the extent to which firms can effectively compete for customers at the point of vehicle purchase, and the point of registration renewal.
- Barriers to expansion in motor vehicle insurance, and in particular, whether in the event of a price rise by the merged firm, the major banks could gain market share in motor vehicle insurance in a similar way to the banks' growth in the manufacture of home insurance.

20. In the Statement of Issues, the ACCC noted that it considered that the proposed acquisition was unlikely to pose substantial competition concerns in relation to commercial insurance lines, and in relation to the other financial products and services offered by Suncorp and Promina - life insurance, disability insurance, superannuation, wealth management and trustee services - given a large number of other competitors of a similar or larger size, who would be able to constrain the merged firm.
21. The ACCC sought submissions from market participants on each of the issues that were raised in the Statement of Issues and any other issues that participants considered relevant to the ACCC's assessment of the matter.

Market One

Market definition

22. The ACCC considered that one of the relevant markets in this matter was the national market for the manufacture of commercial insurance lines in Australia.

Competition analysis

23. The ACCC's inquiries revealed that the merged firm would be a medium to large player in the different commercial insurance lines (it would be the largest supplier of employers liability insurance). However, in each case there are a number of sizeable competitors, as well as many smaller competitors who would be able to constrain the merged firm. Further, brokers play an important role acting as agents for purchasers of commercial insurance, enhancing the degree of competitive vigour in the relevant market by reducing purchasers' search and switching costs. No concerns were raised by market participants regarding this market during initial inquiries or the Statement of Issues phase. Taking these facts into account, the ACCC concluded there were no major competition concerns in relation to this market.

Market Two

Market definition

24. The ACCC considered that there were also separate national markets for the manufacture and supply of other financial products and services offered by Suncorp and Promina in Australia, such as life insurance, disability insurance, superannuation, wealth management and trustee services.

Competition analysis

25. The ACCC's inquiries revealed that Suncorp and Promina are generally relatively small players in these markets, and face competition from numerous strong local and global competitors. The exception is the provision of income protection insurance, where Promina has a more substantial market share but Suncorp has a small share. No concerns were raised by market participants regarding these markets during initial inquiries or the Statement of Issues phase. Taking these facts into account, the ACCC concluded there were no major competition concerns in relation to these markets.

Market Three

Market definition

26. The ACCC considered that there were state and territory based markets for the manufacture and supply of motor vehicle insurance.

27. Customers can purchase motor vehicle insurance from a range of firms, including firms who may be predominantly based interstate, and some do. However, the role of insurers closely identified with a particular state is more significant for motor vehicle insurance than for example, home and contents insurance.

28. The market share of the largest incumbent in each state is relatively high (for example Suncorp in Queensland and IAG in New South Wales). In addition, the state based motoring clubs also account for a significant percentage of policies sold in their state (although they generally operate in joint ventures with national players). As a result, market shares in most states are particularly concentrated, with the largest incumbent and state based motoring club generally accounting for the majority of policies sold. This situation appears to have persisted in part due to the investments in brand development over a long period of time by these firms.

29. The strength of state incumbents may also be reinforced by the links between CTP and motor vehicle insurance. In states where there is competition in the provision of CTP insurance, bundling discounts may encourage consumers to purchase CTP and motor vehicle insurance from the same source, and information provided to the ACCC indicates that the two products are associated in consumers' minds, since both are car insurance products.

30. Taking these factors into account, the ACCC has taken a conservative approach and has defined state and territory based markets, in line with the approach in previous decisions. However, the ACCC notes that, consistent with previous findings, these state and territory based markets are in transition towards being a single national market.

31. The ACCC's competition analysis and conclusion in this matter would not have changed even if a broader national motor vehicle insurance market definition were adopted.

32. More broadly, given evidence of strong and increasing supply substitutability, the separate markets for different personal insurance lines appear to be in transition towards being a single national market for personal insurance lines.

Competition analysis

Market concentration

33. The state and territory based markets are relatively concentrated. In Queensland, the merged firm would account for over 70 per cent of motor vehicle market share based on customer numbers, when RACQI (a 50 per cent joint venture with Suncorp) is included in Suncorp's figures. In other states and territories, while the merged firm would have lower market shares than in Queensland, IAG, the merged firm and their joint venture partners would generally account for the majority of policies sold, followed by a number of much smaller competitors.

Barriers to entry and expansion

34. The ACCC's inquiries revealed that barriers to entry and expansion, such as the financial costs of entry, brand name recognition and brand loyalty, differ depending on the mode of entry. For completely new entrants to the insurance sector, these barriers are generally likely to be very high, based on upfront establishment costs, and the ongoing costs of marketing and brand development. However, in the case of overseas insurers (or firms backed by overseas insurers), the major banks, or large firms in other industries with a strong brand they can carry into the insurance sector, barriers to entry are less significant.

35. Discussions with market participants indicated that a prominent and trusted brand is an important factor for customers in selecting insurers. The relatively high annual insurance renewal rates (often in the order of 85-90 per cent or more) may partly reflect the importance of an established brand for consumers. The ACCC's investigation also found that consumers are relatively unresponsive to small changes in prices. However, in the case of more significant changes, for example 5-10 per cent, the more price sensitive segment of the customer base will consider switching. This provides an opportunity to new and smaller competitors to obtain and expand market share.

36. A number of other firms have a strong brand they can carry across to insurance. In particular, the major banks appear to have a significant competitive advantage as a result of their brand strength, distribution network, customer base and the transaction opportunities they have. While none of the major banks are currently manufacturing motor vehicle insurance (instead distributing insurance on behalf of other manufacturers), information before the ACCC indicated that the banks appear well placed to move into insurance manufacturing in future, particularly if the larger players attempt to increase prices or diminish their levels of service. Other firms may also be able to use their existing brand recognition to leverage sales. For example, Coles announced its own-brand insurance products in early 2006, including home and contents, car and travel insurance (acting as a distributor for IAG). In addition, while still relatively small, Budget Direct provides an example of an aggressive new entrant able to make gradual inroads into the market share of the established players.

37. The ACCC's inquiries also indicated that it is increasingly possible for a new or existing insurer to 'reverse-engineer' a competitor's pricing book by obtaining numerous quotes via call centres and the internet. This reduces the necessity to have an extensive claims database to satisfactorily assess risks and claims costs, which may previously have provided incumbents with a significant competitive advantage, relative to new entrants. The increasing use of the internet to obtain quotes, and the role of call centres, has also reduced the need for physical branch outlets, reducing the financial costs of entry. Other barriers, including the regulatory capital requirements set by the Australian Prudential Regulatory Authority, are not considered to be particularly high.

<u>Countervailing power</u>

38. During the ACCC's inquiries it became evident that independent brokers and distributors would only have a limited degree of countervailing power for motor vehicle insurance (and other personal insurance lines). Intermediaries (including all brokers, banks and other distributors) only account for roughly 25-30 per cent of premium written for personal lines insurance, and the brokerage industry is relatively fragmented.

<u>Vigorous and effective competitor</u>

39. Given the relatively concentrated nature of state and territory based markets for the manufacture and supply of motor vehicle insurance, the ACCC looked closely at whether Promina was a vigorous and effective competitor, and the effect (if any) its removal would have on insurance premiums and product development.

40. The ACCC's inquiries indicated that while Promina has adopted different pricing strategies for its different brands, in general terms, it appears to be one of the more vigorous and competitive firms in the market in terms of price and product development, particularly through its AAMI brand. However, discussions with market participants also confirmed that it is not considered unique in this regard. There are a number of other strong competitors on the basis of price, and a range of other firms have developed innovative product features aimed at differentiating them from competitors.

41. For example, information provided to the ACCC indicated that while AAMI pioneered product innovations such as Complete Replacement Cover[1], NRMA introduced the no claim bonus and the 'maximum no claim discount for life[2]' policy benefit. Also, Allianz introduced the choice of repairer with no additional charge option, and was the first competitor to offer discounts for on-line purchase of motor insurance.

42. Price competition in the market also appears to be highly dynamic. While Promina (AAMI) may be the lowest priced for certain risk characteristics at a point in time, the situation can change quite rapidly. Information before the ACCC on advertising expenditure also provided an indication of a market where some smaller competitors are aggressively increasing their advertising expenditure, in an attempt to gain market share.

Prices and profit margins

43. The ACCC considers that post-acquisition, there will still be sufficient price and product development competition, with a number of other firms able to constrain the merged firm and expand their market share in the event the merged firm attempts to raise its prices above the competitive level.

44. The ACCC considers that the proposed acquisition would be unlikely to provide the merged firm with the ability to unilaterally increase its prices or decrease the quality of its products.

Supply side markets

45. The ACCC's investigation also examined the impact of the proposed acquisition on supply side markets such as motor vehicle repairers, windscreen and glass replacement firms, rental car firms, auctioneers and debt recovery specialists. The ACCC's inquiries revealed that the proposed acquisition is unlikely to significantly lessen competition on the demand side of these markets. Although insurers have strong bargaining power in some of these markets, the acquisition is unlikely to significantly strengthen the bargaining position of the merged firm in these markets, such that it is able to impose significant additional price decreases, or changes in terms.

[1] Where the insurer covers the property to the value of whatever it costs to repair or rebuild it, with new materials and to the same size and standard.

[2] Under NRMA's 'Maximum No Claim Discount for Life', customers who have achieved the highest no claim discount of 65 per cent and haven't made a claim for an accident that is their fault in that year, will then retain the highest discount even if they make a claim for an accident where they were at fault (although the premium payable may be affected).

Market Four

Market definition

46. Consistent with previous decisions, the ACCC considered that one of the relevant markets in this matter was the national market for the manufacture and supply of home insurance and other types of domestic insurance excluding motor. As noted earlier, the state-based motoring clubs are not as strong in the provision of home insurance as was the case for motor vehicle insurance (Market Three). As a result, state incumbents do not have the same level of market share, and there is greater degree of competition by insurers across state lines. Home insurance has more clearly made the transition to a national market than motor vehicle insurance.

Competition analysis

47. The national market for the manufacture and supply of home insurance and other types of domestic insurance excluding motor is also relatively concentrated. Post-acquisition, the merged firm would account for around one third of market share by value, marginally behind IAG. Allianz, which will be the third largest player post-acquisition, has a market share of under 10 per cent.

48. Similar to motor vehicle insurance, the ACCC found that while barriers to entry and expansion are likely to be very high for completely new entrants to the insurance sector, they are less significant for overseas insurers (or firms backed by overseas insurers), the major banks, or large firms in other industries with a strong brand they can carry into the insurance sector. The major banks again have a strong competitive advantage in this market for the reasons outlined earlier. Westpac and the Commonwealth Bank currently manufacture home insurance, and accounted for around 10 per cent of home insurance sold by value in 2005-06 on a national basis. The National Australia Bank and the ANZ presently distribute home insurance (underwritten by other insurance manufacturers). Market inquiries indicated that the major banks and other smaller competitors appear well placed to strengthen their position in the provision of insurance in this market, particularly in the event of a price increase by the merged firm.

49. The findings of the competition analysis for other factors such as countervailing power, whether Promina is a vigorous and effective competitor, supply side markets and the impact of the proposed acquisition on prices and profit margins are generally similar to the analysis for the state and territory based markets for motor vehicle insurance (Market Three).

Market Five

Market definition

50. The ACCC considered that there were state and territory based markets for the manufacture and supply of CTP insurance, based on the very different state based regulations in force in each state, and the fact that most states and territories have a single Government Insurer.

Competition analysis

<u>Market concentration</u>

51. As noted in paragraph 14, CTP schemes are regulated on a state and territory basis, and Queensland, the ACT and New South Wales are presently the only states/territories where competition is allowed to take place. Market shares are particularly concentrated in Queensland. Suncorp and its joint venture partner, RACQI, accounted for around 65 per cent of CTP insurance sold (by value) in that state in 2005-06. Promina is a relatively small player with around 6 per cent market share by value in Queensland. Post acquisition, the merged firm and its joint-venture partner would have a market share (by value) of around 71 per cent in that state. Market participants did not raise any concerns in relation to the NSW CTP market. As a result, the ACCC's investigation focussed mostly on the Queensland market.

<u>Barriers to entry and expansion</u>

52. The ACCC found that barriers to entry and expansion were moderate, in terms of access to new customers. Suncorp and Allianz have exclusive distribution deals with a large proportion of motor dealers in Queensland, whereby these dealers are paid commissions to sell CTP insurance policies. However, market feedback indicated that it is possible for insurers seeking to win dealer accounts to pay out any existing trailing commission arrangements in place, and there are a number of examples of this occurring. Relationships with motor dealers are brokered annually, providing other insurance manufacturers with the opportunity to compete for these contracts at the point of renewal. Also, since Promina is not active in undertaking deals with motor dealers, the proposed acquisition will not strengthen this barrier to entry and expansion.

53. Expanding market share through capturing customers at the point of renewal appears to be more difficult. The ACCC's inquiries indicated that the rate of customer churn in Queensland is markedly lower than in New South Wales, partly due to differences in the regulatory regimes and renewal process in each state.

<u>Vigorous and effective competitor</u>

54. Information provided to the ACCC indicated that while Promina (AAMI) has generally been a vigorous and effective competitor in the Queensland CTP market, relative prices fluctuate markedly, and there have been a number of price leaders in recent years. For example, for the first quarter of 2007, QBE has set its premiums for cars and station wagons 7 per cent less than the premiums set by the highest priced competitor in the market, and this has been combined with a recent increase in advertising expenditure in Queensland by QBE.

55. Most importantly though, there will still be a number of sizeable competitors able to constrain the merged firm. Also, the acquisition of Promina is unlikely to significantly change competitive dynamics in Queensland, given that Promina only has a 6 per cent market share (by value) in the state.

Conclusion

56. On the basis of the above, the ACCC considered that the proposed acquisition of Promina Group Ltd by Suncorp Metway Limited would not be likely to result in a substantial lessening of competition in the relevant markets outlined above, in contravention of section 50 of the Act.